

25STCV26125 25STCV26125

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Case Number: 25STCV26125 Hearing Date: September 17, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: September

17, 2026 TRIAL DATE: Not

set

CASE: Vivien Vanderlee

v. Marcus & Millichap Real Estate Investment Services, Inc., et al.

CASE NO.: 25STCV26125

DEFENDANT

KB EXCHANGE PROPERTIES, LLC'S DEMURRER TO

PLAINTIFF'S

SECOND AMENDED COMPLAINT

I. BACKGROUND

In 2022,

plaintiff Vivien Vanderlee ("Plaintiff") entered into an agreement with Marcus & Millichap Real Estate Investment Services, Inc. ("M&M"), a real estate brokerage firm, to sell her Long Beach home (the "Property"). Plaintiff alleges that M&M, by and through its former First Vice President, Ryan Gonzalez ("Gonzalez"), fraudulently induced her to sell the Property to purchase an unduly risky and illiquid out-of-state Delaware Statutory Trust ("DST") property sponsored by KB

Exchanged Properties, LLC ("KBE").

On September 24, 2025, Plaintiff filed the First Amended Complaint ("FAC") against Defendants, M&M, Gonzalez, and KBE, asserting causes of action for (1) financial elder abuse, (2) breach of fiduciary duty, (3) professional negligence, (4) constructive fraud, (5) violations of Cal. Corp. Code §§ 25504, 25504.01, and (6) violations of the Securities Act § 12(a)(2).

On February 5, 2026, KBE filed a demurrer to the FAC's fifth and sixth causes of action.

On May 29, 2026, the court sustained KBE's demurrer with leave to amend.

On June 11, 2026, Plaintiff filed the Second Amended Complaint ("SAC") against Defendants asserting causes of action for (1) financial elder abuse, (2) breach of fiduciary duty, (3) professional negligence, (4) constructive fraud, (5) violations of Cal. Corp. Code §§ 25401, 25501, 25504, 25504.01. The fifth cause of action is the only claim alleged against KBE.

On July 14, 2026, KBE filed a demurrer to the SAC.

On September 3, 2026, Plaintiff filed an opposition.

At the time of this writing, no reply had been filed.

II. LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. *¿* (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) *¿* When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. *¿* (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) *¿* "Because a demurrer challenges defects on the face of the complaint, it can only refer to matters outside the pleading that are subject to judicial notice." *¿* (Arce ex rel. Arce v. Kaiser Found. Health Plan, Inc. (2010) 181 Cal.App.4th 471, 556.) *¿*

III. DISCUSSION

Previously, the court sustained KBE's demurrer to the fifth cause of action on the ground it was time barred and uncertain because it was not clear whether the fifth cause of action against KBE was based liability under Corporations Code section 25501.[1] Section 25401 makes it unlawful for "any person" to offer or sell a security in this state by means of a written communication containing an untrue statement of material fact or omitting a material fact necessary to make the statements made not misleading, and section 25501 makes "[a]ny person who violates Section 25401" liable to the purchaser for rescission or damages. Primary liability under section 25501 attaches to the actual seller, the person from whom the plaintiff purchased the security. (Apollo Capital Fund, LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226, 252-254.) The statute of limitations for violations of Section 25501 is "five years after the act or transaction constituting the violation or the expiration of two years after the discovery by the plaintiff of the facts constituting the violation, whichever shall first expire." (§ 25506(b).) Here, the SAC now clarifies that the source of KBE's liability is Section 25501. (SAC, ¶¶ 123-131.) Accordingly, the court rejects KBE's statute of limitations challenge to the fifth cause of action.[2] The court must now resolve whether the SAC alleges facts sufficient to constitute a cause of action.

After review, the court finds the SAC states a claim. The SAC alleges that the Private Placement Memorandum ("PPM"), which was prepared by KBE, concealed by omission the risk of the loan's cash sweep provisions, failed to warn of loan-reserve risk factors, failed to warn of the potential for an uncured breach of the bank-loan covenants, failed to warn that the excess-cash-flow reserve. (SAC ¶¶ 62-65, 70-71, 75, 79.) The allegations sufficiently allege the legal effect of the PPM. The absence of the PPM as an exhibit to the SAC does not render the fifth cause of action uncertain or substantively defective. To the extent KBE argues it did not make material misstatements or material omissions is a fact intensive inquiry not suitable for disposition by demurrer. (Insurance Underwriters Clearing House, Inc. v. Natomas Co. (1986) 184 Cal.App.3d 1520, 1526-1527.)[3] The court rejects KBE's remaining arguments for the reasons stated in Plaintiff's opposition. (Opp., pp. 14:16-18:7.) The court incorporates those arguments as though set forth herein.

IV. CONCLUSION

The demurrer is Overruled.

Defendant KB Exchange is ordered to
serve and file its Answer to the SAC within 10 days.

Defendants
to give notice, unless waived.

Dated: September 17,
2026

Brock T. Hammond

Judge of the Superior Court

[1] All unspecified statutory
references hereinafter are to the Corporations Code.

[2] KBE argues, again, the fifth cause
of action accrued on August 2023. As
Plaintiff correctly notes, the court already rejected this very argument when sustaining
KBE's demurrer to the FAC on other grounds. (See Minute Order, 05/29/26.)

[3] KBE also argues the cash sweep
arose after the investment was offered and entered into by the Plaintiff and
thus, there was nothing else to disclose that had not already been
disclosed. (Dem., p. 17:7-11.) However, the SAC alleges otherwise. (SAC ¶¶ 66, 70, 72, 75-77.)